



Budget 2021: Carrying On With PLI Schemes And Call For Manufacturing Locally In India

Nirmala Sitharaman, Minister of Finance, government of India, in her budget speech has made it clear that the government wants to encourage local manufacturers in every way possible. Basic customs duty has been revised on various sectors including mobile phones, LED lights, and lithium-ion batteries



The Union Minister for Finance and Corporate Affairs Smt Nirmala Sitharaman along with the Minister of State for Finance and Corporate Affairs Shri Anurag Singh Thakur arrives at Parliament House to present the General Budget 2021-22, in New Delhi on February 01, 2021 (Credit: <https://pib.gov.in>)

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The year 2020 was not just a year of coronavirus, global lockdowns, and efforts for making the coronavirus vaccine possible. It was also a year filled with mammoth schemes announced by the government of India to promote indigenous manufacture of electronics. Perhaps, the que that world is looking for an alternative to China in terms of electronics manufacturing was one among the other factors for the government to chalk out the production linked incentive (PLI) scheme. The PLI scheme focuses on not only making India self-sufficient in terms of electronics manufacturing but also on making electronics goods for the world.

Come budget 2021, the government has once again cleared the air about its plans to encourage local manufacturing of electronics in the

country. Needless to say, apart from global heavyweights of mobile manufacturing, five Indian companies, including Lava, Bhagwati (Micromax), Padget Electronics, UTL Neolyncs, and Optimus Electronics, have already been approved under the PLI scheme for smartphone manufacturing.

“The Union Budget 21-22 has widened our vision in many ways and reached new horizons. The government has increased outlays by unprecedented amounts on many fronts to give a push to the economy. The expansion in capital expenditure has been the highest and so has been the budget for all-round infrastructure development, health and wellbeing, power sector, skilling and education, and agriculture. Electronics manufacturing has been given a further push by increasing customs duties on some products like mobiles, chargers, auto electronics, and solar equipment,” noted Rajoo Goel, general secretary, ELCINA.

Smartphones: The fastest growing consumer electronics segment in India

Various parts and sub-parts used in manufacture of mobile phones in India, till the announcement of the latest budget, attracted zero basic custom duty (BCD). However, this story will change come April 2021—the beginning of the new financial year in the country. Inputs, parts, or sub-parts for manufacture of specified parts of mobile phones, including PCB assemblies (PCBAs), camera modules, connectors, wired headsets, USB cables, microphones, and receivers, etc, as per the recent budget announcements, or as we call them, amendments, will start attracting 2.5 percent BCD starting this April.

The move, which fairly seems targeted towards encouraging the local manufacturing of mobile phones in India, might also have an effect on brands not originating in India. While Indian manufacturers may find it a little easier to compete with the foreign brands, the end consumers of smartphones might find smartphones from their favorite brands (especially Chinese) a bit expensive than usual. No brownie points for mentioning the fact that the Chinese smartphone brands have been leading the market in India for more than five years (IDC, Counterpoint, Techarc reports).

What's not to be missed here is the fact that during lockdowns, not just Indian brands but brands from outside India (minus Chinese) had realised that depending on one source to fulfill component needs was filled with a lot of risk. The shortage of semiconductors that started haunting